

FRVO

FRVO N/A

Hold \$31.23 ▼ 1.67% 12M Price Target \$38.00 52-Week Range \$30.01 – \$42.65

Market Cap \$9.20B

FRVO: Geothermal Hype Cooling After Earnings Miss

WHAT HAPPENED

- Stock is down ~14% over the past week despite genuinely good news (Nvidia partnership for a "digital twin" — basically an AI simulation of their geothermal wells to optimize drilling). The selloff started after an earnings miss on June 22, and the bounce from the Nvidia headline already faded. Today's tiny volume (400K vs. 2-3M normal) tells me this is a quiet drift down, not panic selling — sellers are just slowly winning.
- RBC reaffirmed the Utah 33 MW project is on schedule, which should've been supportive — the fact that it didn't stop the bleeding means the market is more worried about something bigger (likely policy risk on clean energy subsidies, see below).

WHY IT MATTERS

Here's the disconnect that matters: FRVO just got two huge endorsements (Nvidia partnership, Bill Gates backing reaffirmed, Utah project on track) and the stock is sitting at 10% of its 52-week range. That tells me investors don't care about the operational wins right now — they're worried about the macro overhang on clean energy stocks broadly as the current administration continues unwinding IRA-era subsidies. The Nvidia angle is real and underappreciated though: AI hyperscalers desperately need 24/7 clean baseload power (which geothermal provides, unlike solar/wind), and the digital twin partnership signals Nvidia sees FRVO as a strategic supplier for future data center deals. Watch for a direct Nvidia/Microsoft/Google power purchase agreement announcement — that's the catalyst that flips this stock.

POLICY & POLITICAL WATCH

The single biggest factor for FRVO right now is the fate of the 45U production tax credit and 48E investment tax credit for clean energy — both got partially clawed back in last year's budget reconciliation, and there's an ongoing fight in Congress over whether geothermal gets carved out as a "favored" clean tech (it has bipartisan support since red states like Utah, Nevada, and Texas have the best geothermal resources). If geothermal keeps its credits while solar/wind lose theirs, FRVO is a massive winner — if everything gets cut, project economics get harder. Also watch BLM permitting reform — the administration has signaled faster federal land approvals for energy projects, which would directly speed up FRVO's pipeline since most geothermal sites are on federal land.

IS IT EXPENSIVE?

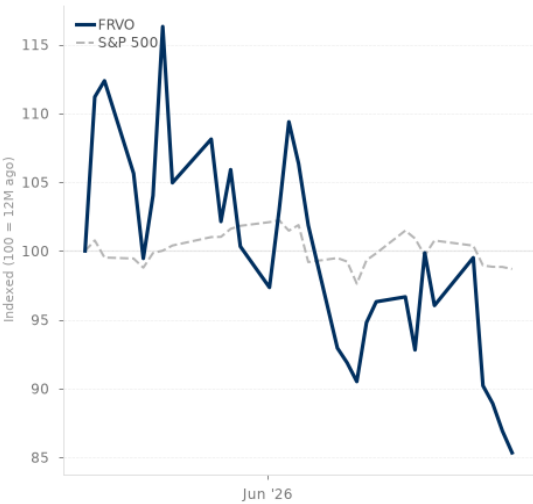
Key Data

Price (USD)	\$31.23
12M Price Target	\$38.00
Upside / (Downside)	+21.7%
Market Cap	\$9.20B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$36.00	\$32.00	\$28.00
6 Months	\$45.00	\$36.00	\$25.00
1 Year	\$55.00	\$38.00	\$22.00
2 Years	\$75.00	\$48.00	\$18.00
5 Years	\$140.00	\$80.00	\$15.00
10 Years	\$300.00	\$150.00	\$10.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+7.6% over 5 days) is the standout — defensive money rotating in ahead of expected economic softening. Utilities also quietly green, which usually signals "risk-off" positioning.

COOLING OFF: Communication Services (-2.6%) and Consumer Discretionary (-2.0%) — the high-beta growth trade is taking a breather. This is bad context for a speculative name like FRVO.

ROTATION WATCH: Money is moving from growth/speculation into defensives (healthcare, staples, utilities). FRVO sits in the worst quadrant for this environment — speculative AND energy-transition exposed.

RELATED PLAY: If you believe the geothermal-for-AI thesis, the picks-and-shovels play is Baker Hughes (BKR) — they make the drilling equipment that companies like FRVO depend on, with way less binary risk.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Continues to be the AI infrastructure king — and now a FRVO partner, which is what makes the geothermal/AI thesis credible in the first place
- VST (Vistra): Traditional power producer winning the AI data center contract race — proves there's massive demand for the baseload power FRVO wants to sell

FRVO CONTEXT: FRVO is badly lagging both its AI-adjacent peers AND the energy producers cashing in on data center demand. That tells me the market doesn't yet believe FRVO can deliver megawatts at scale — they're being treated as a science project, not a power supplier. The re-rating happens when they sign their first named hyperscaler contract.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story but the near-term setup is ugly and the valuation still demands a lot.

POSITION SIZE: Keep this at 1-2% max — the upside is real but it's a speculative position, not a core holding. Treat it like a venture bet.

ENTRY POINTS: I'd wait for a flush toward the 52-week low around \$28-30, or buy the news of a named hyperscaler contract (paying up is fine if the story is confirmed).

TIME HORIZON: 18-36 months — you're waiting for the Utah project to come online, a hyperscaler PPA announcement, and clarity on tax credits.

WHEN TO BAIL: If they announce a dilutive capital raise below \$30, if Utah slips more than a quarter, or if Congress strips geothermal from clean energy credits — any of those breaks the thesis.

HEDGING: Pair this with a traditional utility ETF (XLU) — if the "we need more power for AI" thesis plays out, both win, but the utility ETF cushions you if FRVO specifically stumbles on execution.